



Leveraged life insurance – personal ownership

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Leveraged life insurance under personal ownership is a strategy that allows an individual to access liquidity by using the cash value of an exempt life insurance policy as collateral for a third-party bank loan. Because a collateral assignment is excluded from the definition of a disposition under the Income Tax Act, the policy's cash value can continue to grow on a tax-deferred basis while funds are borrowed externally, often to supplement retirement income or support investment activity. The strategy relies on careful loan structuring and, where applicable, interest deductibility, while avoiding policy loans or withdrawals that could trigger taxable policy gains. Although leveraged life insurance can provide meaningful financial flexibility, it involves material financial and tax risks—including interest rate exposure, lender margin risk, GAAR and AMT considerations—and requires careful planning, monitoring, and professional advice.

Introduction

Leveraged life insurance is a financial planning strategy that uses the cash value of an exempt life insurance policy as collateral security for a loan or series of loans. This Tax Topic will examine the issues and tax implications to consider where an individual acquires an exempt life insurance policy with the intent of accessing the policy's cash value by collaterally assigning the policy at a later date.

Exempt life insurance policies

An individual may purchase a permanent life insurance policy for a number of different reasons including: income replacement; support of dependants; payment of final expenses, estate costs, debts and tax liabilities; creating, increasing, or replacing an estate; funding bequests to charity; or funding buy-sell obligations. A permanent life insurance policy that qualifies as an “exempt policy” allows for tax-deferred growth of the cash value of the policy and tax-free receipt of the proceeds at death. The cash value growth within an exempt policy is not subject to annual accrual taxation and is only subject to tax if there is a disposition of the policy. Significant cash value can accumulate on a tax deferred basis if the maximum deposits permitted by the *Income Tax Act* (the “Act”) are deposited into the exempt policy. The deposits can be designed so that they remain tax-sheltered within the contract and pay for the cost of insurance and expenses in future years. For detailed information on exempt policies refer to the Tax Topic [“The Exempt Test”](#).

Methods of accessing the cash value

There are several alternatives available to the policyholder in order to access a policy's cash value. The policyholder may surrender the policy (fully or partially). A partial surrender is commonly referred to as a withdrawal. A surrender is a disposition for tax purposes (subsection 148(9) definition of “disposition” at paragraph (a) of the Act), and therefore may give rise to a policy gain. The policy gain on a full or partial surrender is calculated as the excess of the proceeds received over the adjusted cost basis (ACB) of the policy. For a full surrender, the entire ACB of the policy is used in this calculation. For a withdrawal, the ACB is prorated relative to the proportion of the policy's cash value that is withdrawn (for policies acquired after December 1, 1982). (Refer to the Tax Topic entitled [“Dispositions of Life Insurance Policies”](#) for further details). Upon a disposition of an exempt policy, any policy gain realized must be included in the taxable income of the policyholder for the year (paragraph 56(1)(j) of the Act).

The policyholder may also request a “policy loan” from the insurer if the policy contract permits this. A policy loan is an advance payment of the policyholder's entitlement to benefits under the policy. The insurer obtains no legal right to sue for repayment, so it is not a true loan in the common commercial sense. A policy loan made after March 31, 1978 is also a disposition of the policy for income tax purposes (subsection 148(9) definition of “disposition” at paragraph (b) of the Act).

The proceeds from a post-March 1978 policy loan in excess of the ACB of the policy are included in the policyholder's income. Note that for a policy loan the ACB is not prorated – the loan proceeds are compared to the total ACB of the policy. For further details on policy loan taxation, refer to the Tax Topic entitled [“Taxation of Life Insurance Policy Loans & Dividends”](#).

Another alternative is for the policy owner to use the life insurance policy as collateral security for a bank loan. A collateral assignment of a policy is specifically excluded from the definition of “disposition” in subsection 148(9) paragraph (f) of the Act, and therefore will not give rise to a policy gain. The policy’s cash value can continue to accumulate on a tax-deferred basis and may be used (within bank limits) as a continuing source of collateral loans to the policyholder. A collateral assignment will not change the policy’s ability to produce tax-free proceeds on the death of the insured.

Leveraged life insurance

A collateral assignment of a policy is often referred to as “leveraged life insurance”.

In general, the steps involved in leveraging life insurance are as follows:

- An individual purchases an exempt life insurance policy and maximizes deposits to the extent permitted under the Act.
- Over time, the cash value within the policy accumulates on a tax-deferred basis to create the asset that will later be leveraged.
- When funds are required, the policyholder requests a loan from a bank. The loan is secured with a collateral assignment of the policy. The borrowed funds are commonly used to supplement retirement income.
- The loan can be structured with interest payments only or interest and principal paid on a regular basis. Alternatively, the bank may agree to allow the policyholder to borrow the amount of the loan interest and add that amount to the outstanding loan amount (i.e. capitalize the interest). Most banks require that the loan balance not exceed a specified percentage of the policy’s cash value (this percentage is often referred to as the “margin”).
- If the loan remains in good standing (i.e. the loan balance does not exceed the bank’s stated margin to the policy’s cash value), it may be structured so that repayment does not occur until death. Upon the death of the life insured the proceeds from the life insurance policy will repay the outstanding loan. Any remaining death benefit proceeds will be paid to the named beneficiary(ies) under the policy.

Leveraged life insurance presentations or “concepts” attempt to demonstrate the financial benefits of using a policy in this way at some point in the future. When presenting this analysis, disclosure of the financial and tax risks associated with this strategy should be made and the concept’s sensitivities to these risks should also be demonstrated.

Financial risks

The financial risks that should be considered when assessing the viability of utilizing an exempt life insurance policy as collateral security for a loan in the future include:

- Assumptions shown in leveraged life insurance presentations may differ from actual events.
- Performance of the life insurance product may differ from projections.
- Bank loan interest rates may differ from projections.
- Bank practices may change.
- Leveraging of equity-based accounts may be subject to reduced leveraging margins.
- Life expectancy may differ from projection assumptions.
- Changes in residency may impact the ability to access policy values via collateral loans.

Each of these risks will be dealt with in more detail below.

Effect of changes in assumptions under leveraged life insurance presentations

Generally, the benefits of leveraged life insurance are demonstrated through the use of numerical spreadsheet presentations. These presentations calculate the future bank loan advances that may be available based on a projection of the future cash values of the exempt life insurance product contained in a separate product illustration. The projected cash value within the product illustration is based on assumptions including investment performance, funding levels and timing of deposits. Leveraged life insurance presentations themselves are based on a number of assumptions including loan interest rates, deductibility of loan interest (or lack thereof), or a particular pattern of borrowing. If these assumptions are not realized, actual performance of the arrangement will differ from illustrated values. For example, loan amounts that may be taken or the timing of these amounts may differ from what was illustrated.

Performance of the life insurance product

As noted above, the accumulation of cash value in the life insurance product provides the basis for the benefits from the leveraged life insurance concept. The life insurance product illustration projects the future cash values and death benefit amounts based on an assumed investment return (either an interest rate or performance credit rate for universal or non-participating whole life insurance or dividend rate for participating whole life insurance). It also assumes a particular funding pattern (amounts and timing of deposits). If the actual return or funding pattern does not conform to the assumptions made in the preparation of the product illustration, cash values and death benefits will differ from illustrated values.

As a result, when the policy is pledged as collateral security for the bank loan or series of bank loans, the actual loan advances may be less than the illustrated values if the insurance product's investment return or funding pattern has not been achieved. Conversely, if the investment return has been greater than illustrated values, the opportunity for additional loan advances may be available.

Bank loan interest rate risk

The terms and conditions of the bank loan will vary depending on the bank used. Many of the projected features and terms of the bank loan reflected in leveraged life insurance presentations are similar. Generally, the interest rate charged on the actual loan will be a floating rate based on the prime rate plus a spread. The leveraged life insurance presentation usually uses a constant bank loan rate. If at the time of borrowing or during the period the loan balance is outstanding the loan rate is higher than projected, the outstanding loan balance will grow faster than illustrated and the growth will be compounded if the loan interest is added to the loan amount. Generally, the bank will require that the outstanding loan balance not exceed a specified percentage of the insurance product's cash value in order to be in good standing (the "margin"). A higher loan interest rate than expected may result in the loan balance exceeding acceptable limits. If this occurs the bank will require steps be taken to bring the loan balance back within the margin. In order to bring the loan back within acceptable limits the bank may require the borrower to: pay loan interest on an annual or more frequent basis; repay the loan or a portion thereof; provide additional security as collateral for the loan; or, as a last resort, surrender all or a portion of the life insurance policy as provided for under the terms of the collateral assignment.

In a worst-case scenario if the borrower could not bring the loan back within acceptable limits, the bank could call the loan and force the withdrawal of the cash value from the policy to repay the loan. The withdrawal of the cash value could result in a taxable policy gain in which case the policyholder would receive a T5 for the amount of any taxable policy gain resulting from the policy withdrawal. The policyholder may not have sufficient funds available to pay the resulting tax liability because the proceeds were used to repay the outstanding loan. If the policy owner does not have the ability to fund the policy going forward, the policy may lapse, and the insurance protection provided by the policy would be lost.

Banking practice risks

In addition to loan interest rate risks there may also be other banking risks. Other bank loan terms and features that are commonly reflected in leveraged life insurance presentations include: a specified loan to cash value margin; loan interest is added to the loan amount (i.e. capitalized); and the bank loan is not repaid until death. These assumptions are based on general statements of the current lending practices of banks. The actual terms of the loan will be negotiated at the time of borrowing in the future (for example in 20 to 30 years). It is possible the bank lending requirements will have changed from current practices. As well, it is possible that a bank may not lend money at all, even with the policy as security, to a particular policyholder based on the state of their financial affairs at that point.

Leveraging equity-based accounts

Universal life policies may offer investment accounts that have investment returns linked to an equity index or fund. It is possible for these indices or funds to provide a negative rate of return. Therefore, the bank making the loan or series of loans may reduce the margin to cash value for particular universal life policies with funds in investment accounts tied to an equity index or fund. In cases where the bank reduces this margin, the loan advances available at the time of borrowing will be less than originally illustrated if the presentation assumed a higher margin.

Life expectancy

Leveraged life insurance presentations usually make an assumption regarding the life expectancy of the individual insured under the policy. Generally, the presentation will show the maximum loan advances available so that at life expectancy the margin to cash value will not be exceeded. At this point, the outstanding bank loan will reach that margin therefore if the life insured lives beyond the assumed age of life expectancy, the loan may exceed this margin. If this occurs the bank may demand any one of the measures discussed above be undertaken to bring the loan balance back within acceptable limits.

Changes in residency may impact the ability to access policy values via collateral loans

It can be difficult to enforce repayment of a loan by a non-resident and withholding taxes would apply to any policy withdrawals. Consequently, a Canadian lender, depending on its lending practices, may not loan to non-residents or may do so only at a lower margin.

As a result, if a Canadian resident uses their policy as collateral security for a loan from a Canadian lender, and then leaves Canada, they may be required to provide additional collateral or repay all or a portion of the loan. If a Canadian resident leaves Canada and later decides to assign their policy as collateral for a loan, they may only be able to do so at a reduced margin, or they may have to obtain the loan from a lender in their new country of residence.

The tax treatment of a collateral loan secured by a life insurance policy in the foreign jurisdiction should also be considered. In some countries, such a loan may be taxable in a manner similar to a policy loan in Canada.

Tax issues

In addition to financial risks, there are tax issues to consider in the context of leveraged life insurance. The main issues include:

- The bank loan as a policy loan.
- Changes to the Act and possible grandfathering.
- The General Anti-Avoidance Rule.
- The deductibility of interest expense.
- Applicability of the tax shelter rules.
- Applicability of the alternative minimum tax rules.

The bank loan as a policy loan

In assessing leveraged life insurance, it is important to consider whether the bank loan could constitute a policy loan under the provisions of the Act.

The bank loan should not constitute a disposition of an interest in a life insurance policy. Generally, there is no disposition for tax purposes of an asset where the asset is collaterally assigned as security for a loan. For example, for capital property, the definition of “disposition” in section 54 of the Act specifically excludes transfers of property for the purpose of securing a debt. As discussed above, subsection 148(9) paragraph (f) of the definition of “disposition” excludes an assignment of all or any part of an interest in a policy for the purpose of securing a debt or a loan other than a policy loan.

The Canada Revenue Agency (CRA) would have to argue that the substance of the transaction is something different from its form if it were to say that the bank loan is a policy loan. This would be a difficult argument to sustain from a formal and economic (substantive) standpoint, the bank loan is independent of the policy.

A key point is that the policy remains in effect and is simply used as security for a loan from a third party (the bank). In addition, it is relevant that the loan is a full recourse loan against the individual borrower or his or her estate and that there are circumstances under which the loan interest and principal may be required to be paid on a current basis. The loan is a true commercial loan and not a policy loan from the insurer.

Changes to the Income Tax Act and possible grandfathering

It is possible the Department of Finance might change the provisions of the Act such that the current application of the rules in the Act and how they are interpreted, would no longer apply to leveraged life insurance. In doing so, the rules may be amended to prohibit the favorable tax consequences associated with transactions contemplated in a leveraged life insurance strategy. It is impossible to determine if the current interpretation of the tax consequences associated with leveraged life insurance will be the same at any future date. Changes are introduced to the Act on an ongoing basis. It is impossible to anticipate how or what changes could be made in the future.

On the other hand, it should be recognized that a life insurance policy has been acquired which stands on its own merit. Cash values may still be accessed by way of policy loans or withdrawals. As a sensitivity, leveraged life insurance strategies should be compared to other methods of accessing policy values. Access to the cash values of the policy may never be required in any event. Should access be required, it will be at this later date that the loan transaction should be reassessed to ensure that it fits with the individual's objectives and complies with the applicable tax law.

It is also possible that “grandfathering” may be available to policies in existence at the time of any rule changes and for subsequent transactions that occur with these policies. Generally speaking, “grandfathering” refers to the continued application of existing rules (i.e. the old rules) to policies or transactions in certain circumstances, notwithstanding the subsequent changes to the rules that would otherwise apply. The taxation of life insurance policies has generally benefited from grandfathering when rules relating to their

taxation were amended. For example, the changes in 1982 to the rules for computing the adjusted cost basis (ACB) of a life insurance policy do not apply to policies in existence on the date the rules were changed. However, even though grandfathering may have been available in the past, there is no assurance that this same relief will continue to be granted should the rules in the Act be changed at some time in the future.

General anti-avoidance rule (GAAR)

It is a well-established principle in tax law that taxpayers are entitled to structure their affairs in a tax effective manner. Still, the CRA could attempt to apply GAAR in subsection 245(2) to a series of transactions if it finds, in a particular situation, there is a misuse or abuse of the provisions of the Act. GAAR allows the CRA to ignore transactions that have no purpose other than to reduce or avoid taxes and tax the individual as if those transactions did not take place. For GAAR to apply three conditions must be satisfied. First, it must be determined whether the taxpayer received a tax benefit. Second, it must be determined if there has been an avoidance transaction. Finally, it must be determined if the avoidance transaction results in a misuse of a specific provision of the Act or an abuse of the Act read as a whole.

In 2024, Bill C-59 amended section 245 of the Act to expand the breadth of GAAR (“new GAAR”). The amendments included:

- A preamble was added in subsection 245(0.1) of the Act which explains the intention of GAAR to deny the tax benefit of avoidance transactions that result directly or indirectly either in a misuse or an abuse of provisions of the Act, while not preventing taxpayers from obtaining tax benefits contemplated by Parliament; and strikes a balance between the Government's responsibility to protect the tax base and the fairness of the tax system, and taxpayers' need for certainty in planning their affairs.
- Subsection 245(3) was amended to lower the threshold for the definition of “avoidance transaction”.
- An economic substance analysis was introduced in subsection 245(4.1) whereby an avoidance transaction (or series of transactions that includes an avoidance transaction) is significantly lacking in economic substance, this is an important consideration that “tends to indicate” a misuse or an abuse.
- A framework was provided in subsection 245(4.2) for an economic substance test setting out a non-exhaustive list of factors that could indicate that a transaction is lacking in economic substance.
- Penalty provisions were introduced in subsection 245(5.1) where GAAR is found to apply. This subsection is punitive since it does not merely put the taxpayer in the same position they would have been in had they not undertaken the avoidance transaction, but rather, imposes a penalty of 25 percent of the amount of the tax benefit that would have resulted from the transaction had GAAR not applied. In the case of tax attributes, the amount of the attribute is deemed to be nil if GAAR applies. Also, if GAAR applies there will be a three-year extension of the normal reassessment period. An exception is provided if the taxpayer discloses the transaction under mandatory disclosure rules for reportable transactions or voluntarily under a new optional GAAR disclosure rule. A taxpayer may seek relief under 245(5.2) where it is reasonable for the taxpayer to have concluded that subsection 245(2) would not apply where the impugned transaction is identical or almost identical to a transaction or series that was the subject of published administrative guidance, statements made by a relevant governmental authority, or one or more court decisions.

These changes apply retroactively to transactions carried out on or after January 1, 2024, however the penalty provisions are effective June 20, 2024.

For leveraged life insurance, the relevant points to consider in a GAAR challenge would be whether an insurance need has been demonstrated; whether the undertaken transactions have economic substance independent of any tax benefits; and all other facts in the particular situation.

There is a risk the CRA may argue there is little economic benefit from the transactions apart from the tax benefits. For example, they may argue that the client already has access to cash to invest, however instead of investing this cash directly, the cash is flowed through the arrangement by over-funding the life insurance policy and then using a collateral loan to immediately access the funds. The objective of flowing the funds through the arrangement is to take advantage of the investment component of the life insurance policy (that is sheltered from current income tax) and get a tax deduction for the interest expense and possibly the collateral insurance deduction. Structuring it as a collateral loan avoids the disposition which would arise if the arrangement were structured utilizing a policy loan. If these tax benefits are the main purpose of the transactions, then it could be considered abusive tax avoidance, and CRA might treat the collateral loan as a policy loan (which would be taxable to the extent it exceeds the ACB of the policy).

The definition of “disposition” in subsection 148(9) specifically excludes “an assignment of all or any part of an interest in the policy for the purpose of securing a debt or a loan other than a policy loan”. This is the provision which is relied upon to assert that collateral loan arrangements do not result in a disposition of the policy. A “policy loan” is further defined in this subsection as “an amount advanced by an insurer to a policy owner in accordance with the terms and conditions of the life insurance policy”. So, if it is a true collateral loan from a bank, with no link to the policy, arguably there has not been “abusive tax avoidance”. The provisions of the Act are merely operating as they were intended.

In addition, it can be argued that the client is simply structuring their affairs in a tax efficient manner, and that the primary purpose of the transactions is to obtain a collateral loan for investment or business purposes while at the same time acquiring life insurance protection. Accordingly, the transactions have a bona fide purpose other than to obtain a tax benefit and therefore do not constitute an avoidance transaction. Under existing caselaw, in leveraged life insurance arrangements, rearranging one's affairs so that cash is used to make deposits to an exempt life insurance policy, and then using a loan against the cash value of the policy, should be a valid way to structure one's affairs to achieve interest deductibility. The CRA commented positively on this strategy at the 2025 APFF CRA Roundtable and the 2025 CTF CRA Roundtable, discussed in greater detail under the "Deductibility of Interest Expense" below.

CRA attempted to use the GAAR to deny interest deductibility in a Supreme Court of Canada decision (Lipson v. Canada, 2009 SCC 1)). This case and its impact are discussed extensively in the Tax Topic "[Interest Deductibility](#)". In summary, it would appear that based on the Lipson decision, as long as taxpayers structure their leveraged life insurance arrangements so that the direct use of the borrowed funds is for the purpose of producing income, it is unlikely that CRA would be successful in applying GAAR to deny the interest and collateral insurance deductions. However, the case may suggest that where interest deductions are combined with other tax benefits CRA may have success using GAAR to attack other aspects of the arrangements. The remedy in this case could be something other than denial of interest deductions or characterization of the loan as a policy loan.

Regrettably, the nature of the GAAR provisions do not allow for general conclusions. The court cases on GAAR have been somewhat inconsistent in their approach to GAAR analysis and their conclusions. As a result, whether CRA will be successful in applying GAAR in any particular instance will depend on the specific facts of the case and will be subject to the interpretation of the courts. GAAR will always be a concern for those who undertake complex tax planning.

Deductibility of interest expense

A deduction for interest expense (not exceeding a reasonable amount) is allowed pursuant to paragraph 20(1)(c) of the Act provided the following conditions are met:

1. the amount must be paid in the year or payable in respect of the year (depending on the method regularly followed by the taxpayer), pursuant to a legal obligation to pay interest on borrowed money, and
2. the borrowed money must be used for the purpose of earning income from a business or property or to acquire a property for the purpose of earning income from a business or property.

The impact of item (i) is that if the bank loan is to an individual who uses the cash basis for reporting income, interest will generally be deductible only when it is paid. This would be annually if interest is being paid on a regular basis, or when the loan is repaid with the insurance policy's death benefit if the loan is structured with the loan advances and any interest accrued (and unpaid) being added to the loan balance.

If the accrual method of reporting interest expense is being used, the interest expense could be deductible by the taxpayer in the year it is considered payable, even if the interest is accrued. It is possible for an individual who regularly follows the accrual method of reporting their interest expense, to deduct this interest expense in the year in which it is payable rather than paid even where they may have separate investments (like a bank account) where interest earned is reported by them on a cash basis.

The impact of item (ii) is that the borrowed funds must be used to produce income from a business or property (eg. paying business or property expenses) or to acquire an income producing asset such as an interest in a partnership or shares of a corporation. "Income" refers to things like interest, rents, royalties, business income, or trading gains. It does not include capital gains. For example, funds borrowed to invest in investments which only generate capital gains will not earn "income" and therefore, the interest on such borrowed funds will not be deductible. In the case of an investment such as mutual funds or securities where the primary objective in connection with the borrowings is capital growth, it would be possible to deduct the interest as long as there is also an expectation to earn income (i.e. interest or dividends). Borrowed funds used to provide retirement income or acquire personal assets will not be deductible.

It is important to note that the deduction for interest expense under paragraph 20(1)(c) of the Act is restricted to simple interest. The deduction of compound interest (interest on interest) is allowed under paragraph 20(1)(d) of the Act only to the extent that it is paid pursuant to a legal obligation to pay interest, and the simple interest on which it arises would be deductible under paragraph 20(1)(c) if it were paid in the year or payable in respect of the year. This means that if interest is allowed to compound, and consequently is not physically paid until the life insurance policy death benefit repays the loan, then the compound interest would only be deductible at the time of death. (Simple interest may still be deductible on an accrual basis if this is the method regularly followed by the taxpayer). Note that several technical interpretations from CRA create some uncertainty in this area (#2004-007034 and #2005-0116661C6.) These interpretations would appear to allow interest on money borrowed to pay simple interest to be deductible, but the implications for compound interest remain unclear.

A strategy to avoid compound interest arising and to ensure simple interest is deductible for taxpayers using the cash basis of accounting (assuming the other criteria for interest deductibility are met), is to pay all of the loan interest out of pocket each year. If cash is not available, assets that generate income could be sold and the proceeds from the sale used to pay the loan interest. Then a new loan can be arranged equal to the cash utilized to pay the interest, and the loan proceeds can be used to repurchase the assets

that were sold. At the APFF CRA Roundtable (Q.3 2025-1068401C6), the CRA confirmed that a taxpayer may carry out this restructuring transaction without triggering the application of GAAR. Assuming the new loan is used to purchase an income earning property, interest on the loan should be deductible annually. The same series of steps would need to occur each year to avoid compound interest. A similar question was asked at the 2025 CTF CRA Roundtable and the CRA provided a consistent answer confirming GAAR would not be applied to this restructuring transaction.

See the Tax Topic entitled "[Interest Deductibility](#)" for a complete discussion of the deductibility of both simple and compound interest.

Applicability of the tax shelter rules

Section 237.1 of the Act contains special rules for arrangements which fall within the definition of a "tax shelter". There is an obligation on a person acquiring a property which is a tax shelter to report to the Minister of Finance certain details about the property, including an identification number for the tax shelter. Failure to file a report would deny the person any deductions and claims for income tax associated with the tax shelter.

While there have been CRA technical interpretations in the context of leveraged insured annuities that comment on the tax shelter rules, there have been no reported cases involving the application of the tax shelter rules to life insurance planning arrangements. However, the tax shelter rules may be a consideration in the leveraged insurance context where there is a leveraging within the first 4 years of the arrangement.

In simple terms, a property is a tax shelter if, in the first four years of acquiring the property, the deductions equal or exceed the cost of the property. The "cost" of the property is reduced by any loan that is a "limited recourse amount". Therefore, the main question relating to the property requirement is whether it is only the investment into which borrowed money is put that constitutes the relevant property or whether the life insurance policy is included with the investment as part of the relevant property. It may be the case that any deductions for interest or collateral insurance may exceed that "cost", and therefore may trigger the tax shelter rules.

There is also a requirement for the promoter to make statements or representations about the tax benefits of the arrangement. This requirement may be met if interest or collateral insurance deductions are discussed or illustrated in connection with a tax shelter property.

The application of the tax shelter rules may be mitigated if the loan is not treated as a limited recourse amount. This would require there to be a bona fide arrangement evidenced in writing for repayment within a reasonable period, not exceeding 10 years and interest must be payable at least annually at a rate equal to or greater than the lesser of the prescribed rate at the time the debt arose and the prescribed rate during the term of the debt with the interest being paid within 60 days after the end of each taxation year of the borrower.

Applicability of the alternative minimum tax (AMT) rules

An individual is required to calculate their income tax in two ways; first, using the normal tax rules and a second time using a special set of rules referred to as the (AMT). The individual is required to pay whichever result is highest. The AMT is a set of rules that deny or only partially allow certain deductions, exemptions, and tax credits to ensure high income individuals pay at least a minimum amount of tax when they would otherwise reduce their tax liability to very low levels. When AMT is paid, an individual may carry forward the difference between the AMT paid and the amount calculated under the normal tax rules as a tax credit for seven years. If a taxpayer's regular tax payable in the following seven years does not exceed their AMT tax liability, the AMT paid will become a permanent tax.

The AMT rules were amended in Bill C-69 (new AMT), which received royal assent on June 20, 2024. The new AMT rate increased from 15 percent to 20.5 percent with the standard exemption amount increasing from \$40,000 to the start of the fourth federal tax bracket (for the 2025 taxation year, the amount was \$177,882), indexed annually to inflation.

The new AMT applies to individuals and trusts from January 1, 2024 onwards. Individuals are exempt from new AMT in their year of death or in cases of personal bankruptcy. There are limited exceptions for trusts such as graduated rate estate are exempt from new AMT and qualified disability trusts are subject to AMT but are eligible for the basic exemption from AMT (trusts are generally not entitled to the standard exemption). The AMT does not apply to corporations.

The new AMT may impact life insurance where the policy is leveraged and the individual borrower seeks interest deductions or collateral insurance deductions. The new AMT included reduced deductions for interest and carrying charges for the purpose of earning income from 100 percent to 50 percent for the purposes of calculating a taxpayer's adjusted taxable income for AMT. This is relevant to the availability of an interest deduction and the collateral insurance deduction when borrowing personally using a life insurance policy as collateral, such that where AMT applies these limitations could impact the internal rate of return of personally leveraged life insurance strategies.

Conclusion

Significant financial benefits can be provided by leveraged life insurance strategies. In assessing these benefits, one should also be aware of the financial and tax risks associated with this strategy and sensitivities to these risks should be undertaken.

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